

1 ENGROSSED SENATE
2 BILL NO. 1145

By: Hall and Haste of the
Senate

3 and

4 Caldwell (Trey), Kane,
5 Blancett, Fugate, Hefner,
Deck, and Menz of the House

6
7
8 An Act relating to the Oklahoma Public Employees
9 Retirement System; amending 62 O.S. 2021, Section
10 3103, as last amended by Section 2, Chapter 361,
11 O.S.L. 2024 (62 O.S. Supp. 2025, Section 3103), which
12 relates to the Oklahoma Pension Legislation Actuarial
13 Analysis Act; modifying certain definition;
14 authorizing benefit increase for certain retired
15 members of the Oklahoma Public Employees Retirement
16 System; updating statutory language; providing for
17 codification; and providing effective dates.

18 BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

19 SECTION 1. AMENDATORY 62 O.S. 2021, Section 3103, as
20 last amended by Section 2, Chapter 361, O.S.L. 2024 (62 O.S. Supp.
21 2025, Section 3103), is amended to read as follows:

22 Section 3103. As used in the Oklahoma Pension Legislation
23 Actuarial Analysis Act:

24 1. "Amendment" means any amendment, including a substitute
bill, made to a retirement bill by any committee of the House of
Representatives or Senate, any conference committee of the House or
Senate or by the House or Senate;

1 2. "RB number" means that number preceded by the letters "RB"
2 assigned to a retirement bill by the respective staffs of the
3 ~~Oklahoma State~~ Senate and the ~~Oklahoma~~ House of Representatives when
4 the respective staff office prepares a retirement bill for a member
5 of the Legislature;

6 3. "Legislative Actuary" means the firm or entity that enters
7 into a contract with the Legislative Service Bureau pursuant to
8 Section 452.15 of Title 74 of the Oklahoma Statutes to provide the
9 actuarial services and other duties provided for in the Oklahoma
10 Pension Legislation Actuarial Analysis Act;

11 4. "Nonfiscal amendment" means an amendment to a retirement
12 bill having a fiscal impact, which amendment does not change any
13 factor of an actuarial investigation specified in subsection A of
14 Section 3109 of this title;

15 5. "Nonfiscal retirement bill" means a retirement bill:

- 16 a. which does not affect the cost or funding factors of a
17 retirement system,
18 b. which affects such factors only in a manner which does
19 not:
20 (1) grant a benefit increase under the retirement
21 system affected by the bill,
22 (2) create an actuarial accrued liability for or
23 increase the actuarial accrued liability of the
24 retirement system affected by the bill, or

- 1 (3) increase the normal cost of the retirement system
2 affected by the bill,
- 3 c. which authorizes the purchase by an active member of
4 the retirement system, at the actuarial cost for the
5 purchase as computed pursuant to the statute in effect
6 on the effective date of the measure allowing such
7 purchase, of years of service for purposes of reaching
8 a normal retirement date in the applicable retirement
9 system, but which cannot be used in order to compute
10 the number of years of service for purposes of
11 computing the retirement benefit for the member,
- 12 d. which provides for the computation of a service-
13 connected disability retirement benefit for members of
14 the Oklahoma Law Enforcement Retirement System
15 pursuant to Section 2-305 of Title 47 of the Oklahoma
16 Statutes if the members were unable to complete twenty
17 (20) years of service as a result of the disability,
- 18 e. which requires membership in the defined benefit plan
19 authorized by Section 901 et seq. of Title 74 of the
20 Oklahoma Statutes for persons whose first elected or
21 appointed service occurs on or after November 1, 2018,
22 if such persons had any prior service in the Oklahoma
23 Public Employees Retirement System prior to November
24 1, 2015,

1 f. which provides for a one-time increase in retirement
2 benefits if the increase in retirement benefits is not
3 a permanent increase in the gross annual retirement
4 benefit payable to a member or beneficiary, occurs
5 only once pursuant to a single statutory authorization
6 and does not exceed:

7 (1) the lesser of two percent (2%) of the gross
8 annual retirement benefit of the member or One
9 Thousand Dollars (\$1,000.00) and requires that
10 the benefit may only be provided if the funded
11 ratio of the affected retirement system would not
12 be less than sixty percent (60%) but not greater
13 than eighty percent (80%) after the benefit
14 increase is paid,

15 (2) the lesser of two percent (2%) of the gross
16 annual retirement benefit of the member or One
17 Thousand Two Hundred Dollars (\$1,200.00) and
18 requires that the benefit may only be provided if
19 the funded ratio of the affected retirement
20 system would be greater than eighty percent (80%)
21 but not greater than one hundred percent (100%)
22 after the benefit increase is paid,

23 (3) the lesser of two percent (2%) of the gross
24 annual retirement benefit of the member or One

1 Thousand Four Hundred Dollars (\$1,400.00) and
2 requires that the benefit may only be provided if
3 the funded ratio of the affected retirement
4 system would be greater than one hundred percent
5 (100%) after the benefit increase is paid, or
6 (4) the greater of two percent (2%) of the gross
7 annual retirement benefit of the volunteer
8 firefighter or One Hundred Dollars (\$100.00) for
9 persons who retired from the Oklahoma
10 Firefighters Pension and Retirement System as
11 volunteer firefighters and who did not retire
12 from the Oklahoma Firefighters Pension and
13 Retirement System as a paid firefighter.

14 As used in this subparagraph, "funded ratio" means the
15 figure derived by dividing the actuarial value of
16 assets of the applicable retirement system by the
17 actuarial accrued liability of the applicable
18 retirement system,

- 19 g. which modifies the disability pension standard for
20 police officers who are members of the Oklahoma Police
21 Pension and Retirement System as provided by Section
22 50-115 of Title 11 of the Oklahoma Statutes,
23 h. which provides a cost-of-living benefit increase
24 pursuant to the provisions of:

1 (1) Section 49-143.7 of Title 11 of the Oklahoma
2 Statutes,

3 (2) Section 50-136.9 of Title 11 of the Oklahoma
4 Statutes,

5 (3) Section 1104K of Title 20 of the Oklahoma
6 Statutes,

7 (4) Section 2-305.12 of Title 47 of the Oklahoma
8 Statutes,

9 (5) Section 17-116.22 of Title 70 of the Oklahoma
10 Statutes,

11 (6) Section 930.11 of Title 74 of the Oklahoma
12 Statutes,

13 (7) Section 2 of this act,

14 i. which modifies the computation of the line-of-duty
15 disability benefit pursuant to the provisions of this
16 section and Sections 50-101 and 50-115 of Title 11 of
17 the Oklahoma Statutes, or

18 j. which authorizes membership in the Oklahoma Law
19 Enforcement Retirement System for active commissioned
20 or CLEET-certified agents of the Office of the
21 Attorney General or the Military Department of the
22 State of Oklahoma pursuant to Sections 3 and 4 of this
23 act.
24

1 A nonfiscal retirement bill shall include any retirement bill that
2 has as its sole purpose the appropriation or distribution or
3 redistribution of monies in some manner to a retirement system for
4 purposes of reducing the unfunded liability of such system or the
5 earmarking of a portion of the revenue from a tax to a retirement
6 system or increasing the percentage of the revenue earmarked from a
7 tax to a retirement system;

8 6. "Reduction-in-cost amendment" means an amendment to a
9 retirement bill having a fiscal impact which reduces the cost of the
10 bill as such cost is determined by the actuarial investigation for
11 the bill prepared pursuant to Section 3109 of this title;

12 7. "Retirement bill" means any bill or joint resolution
13 introduced or any bill or joint resolution amended by a member of
14 the Legislature which creates or amends any law directly affecting a
15 retirement system. A retirement bill shall not mean a bill or
16 resolution that impacts the revenue of any state tax in which a
17 portion of the revenue generated from such tax is earmarked for the
18 benefit of a retirement system;

19 8. "Retirement bill having a fiscal impact" means any
20 retirement bill creating or establishing a retirement system and any
21 other retirement bill other than a nonfiscal retirement bill; and

22 9. "Retirement system" means the Teachers' Retirement System of
23 Oklahoma, the Oklahoma Public Employees Retirement System, the
24 Uniform Retirement System for Justices and Judges, the Oklahoma

1 Firefighters Pension and Retirement System, the Oklahoma Police
2 Pension and Retirement System, the Oklahoma Law Enforcement
3 Retirement System, or a retirement system established after January
4 1, 2006.

5 SECTION 2. NEW LAW A new section of law to be codified
6 in the Oklahoma Statutes as Section 930.12 of Title 74, unless there
7 is created a duplication in numbering, reads as follows:

8 Any person receiving benefits from the Oklahoma Public Employees
9 Retirement System as of June 30, 2026, who continues to receive
10 benefits on or after the effective date of this section, shall
11 receive an increase in benefits as follows:

12 1. Zero percent (0%) if the person has been retired for less
13 than ten (10) years as of June 30, 2026;

14 2. Three percent (3%) if the person has been retired for at
15 least ten (10) years but less than twenty (20) years as of June 30,
16 2026; and

17 3. Six percent (6%) if the person has been retired for twenty
18 (20) years or more as of June 30, 2026.

19 SECTION 3. Section 1 of this act shall become effective October
20 1, 2026.

21 SECTION 4. Section 2 of this act shall become effective
22 November 1, 2026.

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1 Passed the Senate the 14th day of April, 2026.

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3 _____
4 Presiding Officer of the Senate

5 Passed the House of Representatives the ____ day of _____,
6 2026.

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8 _____
9 Presiding Officer of the House
10 of Representatives